

Home Comfort - Two-Page Operating Benchmark

Reliance Home Comfort and Enercare | Source report dated July 18, 2026

SUBVERTICAL THESIS

Installed residential equipment and protection plans convert essential household needs into recurring monthly billing. Pricing, premium-equipment mix and cross-sell support growth, while equipment exchange and reinstallation remain the central sustaining-capital burden.

METRIC	ESTIMATE	RATIONALE / EVIDENCE
Revenue growth	5%	Rationale. Mature installed bases grow mainly through price, HVAC and premium-unit mix, cross-sell, modest net units, and occasional M&A; acquisitions are not organic growth. Support / caveat. Enercare revenue rose 6% in 9M 2018 while units rose only 0.6% and monthly rent increased from C\$24.35 to C\$25.50. CONFIDENCE: MEDIUM
EBITDA margin	53%	Rationale. Monthly revenue on installed, low-touch water heaters creates high recurring gross margin; technicians, dispatch, support, and transactional services dilute it. Support / caveat. Enercare disclosed C\$201.4 million EBITDA on C\$359.8 million 9M 2018 revenue, about 56%, with contracted revenue near 92%. CONFIDENCE: MIXED BY ARCHETYPE
Maintenance capex / revenue	12%	Rationale. Providers replace owned end-of-life units, including removal and reinstallation, to preserve billable addresses. Water heaters and plans lower intensity; HVAC raises it. Support / caveat. Enercare exchanged 33.6 thousand assets in 9M 2018, 2.9% of opening units, and found used heaters uneconomic to redeploy. CONFIDENCE: MIXED BY ARCHETYPE
Post-maintenance capex conversion	78%	Rationale. Recurring billing creates strong EBITDA, but exchanges prevent software-like conversion. This measure excludes interest, taxes, working capital, lease principal, and growth capex. Support / caveat. The 78% center follows 53% EBITDA margin and 12% maintenance capex. CONFIDENCE: MIXED BY ARCHETYPE
Initial contract tenor	7-10 yrs	Rationale. Newer rentals use minimum-term, buyout, or useful-life structures to recover capital; legacy Ontario water-heater cohorts can be cancellable or non-term. Support / caveat. Reliance cites 7-10-year minimums, 10 years then monthly, and separate non-term and 84-month forms. CONFIDENCE: MIXED BY ARCHETYPE
Effective customer tenure	18 yrs	Rationale. Address-level continuity, residential inertia, home-sale transfer, and convenient replacement can carry revenue beyond both legal term and the first asset. Support / caveat. Enercare rental attrition was 1.9% over 9M 2018; Reliance continues monthly after initial terms. CONFIDENCE: MEDIUM
Utilization exposure	Low-Moderate	Rationale. Asset utilization is largely binary: installed on a paying account or not. Household usage intensity does not normally change fixed rent. Support / caveat. Company reporting emphasizes units, contracts, attrition, exchanges, service response, and installed accounts rather than consumption or runtime. CONFIDENCE: HIGH
New-unit or customer payback	8 yrs	Rationale. Fully burdened payback includes equipment, installation, acquisition, service, repair, and replacement reserve. Basic heaters repay slower; HVAC and premium units repay faster. Support / caveat. Reliance showed C\$1,000-C\$5,500 installed cost and C\$20-C\$100+ monthly rent. CONFIDENCE: MIXED BY ARCHETYPE
B2B vs B2C	Predominantly B2C	Rationale. Households are the economic center, although builders, property managers, and small commercial channels may originate or intermediate accounts. Support / caveat. Enercare disclosed that about 95% of its rental portfolio consisted of residential water heaters. CONFIDENCE: HIGH

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HOW TO READ THE UNIVERSE

Both businesses monetize installed residential equipment and essential service continuity. The evidence bridge focuses on recurring rental and protection-pl economics, not one-time HVAC sales or service work.

Reliance Home Comfort	Enercare
WHAT IT DOES Reliance Comfort Limited Partnership serves more than 2 million customers, mainly in Ontario with reported western Canadian, Georgia, and Florida operations. It rents and sells water heat and HVAC and offers water purification, plumbing, electrical, smart-home, and protection plans solves urgent hot-water, heating, and cooling needs without upfront purchase or surprise repair risk. The benchmark isolates rentals and plans from one-time work. ECONOMIC MODEL The core unit is an installed asset at a residential address; plans and one-time jobs are separate units. Reliance funds equipment and installation, retains ownership, bills monthly, provides repair and replacement, and operates technicians, dispatch, and call centers. Essentiality, installation budget smoothing, transfers, and replacement convenience support retention; moves, buyouts, switching, poor service, repricing, purchase, and technology migration drive churn. Used hardware has limited redeployment value, so the address relationship is the key residual asset. SUPPORTING EVIDENCE Acquired in 2017 at about C\$4.6 billion enterprise value, Reliance grew from 1.8 million customers to 2.1 million by end-2023 and made two U.S. acquisitions in 2025. Terms show 7-10-year minimums, 14-16-year heater lives, included installation, repair and replacement, and C\$20-C\$100+ monthly rent. Current standalone financial, churn, and growth bridges are unavailable, making several company metrics low-confidence.	WHAT IT DOES Enercare is an Ontario-centric platform serving about 1.1 million customers. The relevant business is Home Services, excluding former Service Experts and submetering. It rents water heaters, HVAC, and water-treatment equipment, sells plans, and performs equipment sales and service, offering predictable cost and outsourced continuity for essential systems. Brookfield acquired it in 2018; the clean segment base is 2017 and 9M 2018. ECONOMIC MODEL The core unit is an installed rental unit, about 95% residential water heaters historically; plans and one-time HVAC jobs are separate. Rentals were 73% of 2017 revenue and plans 20%. Heaters require little scheduled maintenance; HVAC and plans use more field labor. Ownership, installation, response, and buyout or useful-life terms support retention; moves, buyouts, switching, repricing, and poor service cause churn. Equipment is replaced rather than redeployed, making exchanges sustaining capital and allowing relationships to continue through replacement. SUPPORTING EVIDENCE In 9M 2018, contracted revenue was C\$332.0 million of C\$359.8 million total, EBITDA margin was 56%, units grew 0.6%, and 33.6 thousand assets were exchanged. Rental attrition was 1.9% versus 9.3% for plans. HVAC rentals generated three to five times heater revenue. Current post-privatization segment data are unavailable.

KEY DILIGENCE QUESTIONS

1. Separate recurring rentals and plans from one-time sales, service, and acquisition-led growth. | 2. Obtain current product mix, gross additions, attrition, exchange volume, and direct service cost by cohort. | 3. Test how much installation spending labeled as growth merely replaces churn and is economically sustaining.

Point-of-Use Water - Two-Page Operating Benchmark

AquaVenture Holdings / Quench and Primo Water | Source report dated July 18, 2026

SUBVERTICAL THESIS

The core archetype is Quench's workplace point-of-use model: installed, provider-owned filtration equipment for a recurring fee. Route density and recurring billing support margins, while equipment ownership, service intensity and customer-site turnover constrain conversion and tenure.

METRIC	ESTIMATE	RATIONALE / EVIDENCE
Revenue growth	8%	Rationale. New placements, added units, price, retention, and acquisitions drive growth, not water throughput. Office health constrains Quench; mixed channels add refill effects. Support / caveat. Quench grew 45.4% in 2019, with 13.6% organic growth. CONFIDENCE: MIXED BY ARCHETYPE
EBITDA margin	28%	Rationale. Monthly fees create recurring contribution; technicians, travel, filters, sanitation, repairs, and mix consume margin. Dense workplace routes should outperform fragmented home/business service. Support / caveat. Quench reported \$32.4 million EBITDA on \$115.2 million 2019 revenue, a 28.1% margin. Primo's 12%-24% filtration range is inferred. CONFIDENCE: MIXED BY ARCHETYPE
Maintenance capex / revenue	13%	Rationale. Sustaining capital includes replacement systems, returned-unit refurbishment, service vehicles, removal, and reinstallation. Filters are operating cost. Support / caveat. Quench owns about 160,000 rental units. CONFIDENCE: LOW
Post-maintenance capex conversion	54%	Rationale. Recurring fees support EBITDA, but replacement and service assets absorb cash. This metric is not full free cash flow. Support / caveat. The 54% center uses Quench's 28% margin and 13% capex estimate. Primo's 56% case uses inferred 18% margin and 8% capex. CONFIDENCE: LOW
Initial contract tenor	1-12 mos	Rationale. Flexible terms reduce sales friction; some enterprise accounts run longer. Durability relies more on operating stickiness than legal lock-in. Support / caveat. Quench describes primarily month-to-month rental. CONFIDENCE: MIXED BY ARCHETYPE
Effective customer tenure	6 yrs	Rationale. Plumbing, service, billing, and multi-unit relationships extend life; office closure, downsizing, hybrid work, easy cancellation, and substitutes shorten it. Support / caveat. Quench averaged about 2.9 units per customer. Primo's rolling cancellation supports a lower 4-year company center. CONFIDENCE: MIXED BY ARCHETYPE
Utilization exposure	Moderate overall	Rationale. A lightly used contracted machine still earns; a returned unit does not until redeployed. Route density and technician productivity govern service economics. Support / caveat. Quench uses fixed pricing and 500+ technicians, with office-occupancy exposure. Primo diversifies office risk but can be harder to densify. CONFIDENCE: MEDIUM
New-unit or customer payback	Equipment 2.7 yrs CAC 1.0 yr	Rationale. Equipment payback uses installed cost and contribution after service and sustaining reserve. CAC payback is shorter because one account can support multiple machines. Support / caveat. Quench had 160,000 units and 55,000-plus customers, about 2.9 units per account. Primo plans start at \$27.99 monthly; installed cost is undisclosed. CONFIDENCE: LOW
B2B vs B2C	Predominantly B2B	Rationale. Workplace customers support density but add procurement complexity. Mixed home/business models broaden the funnel while increasing fragmentation and weakening contractual durability. Support / caveat. Quench is explicitly B2B and directs residential users elsewhere. CONFIDENCE: MIXED BY ARCHETYPE

Point-of-Use Water - Two-Page Operating Benchmark

AquaVenture Holdings / Quench and Primo Water | Source report dated July 18, 2026

HOW TO READ THE UNIVERSE

Point-of-use providers replace bottle logistics with installed filtration, recurring service and route density. Quench is the clean workplace B2B anchor; Primo remains a mixed reference because filtration is combined with other water channels.

AquaVenture Holdings / Quench	Primo Water
WHAT IT DOES The relevant AquaVenture operation is Quench, excluding Seven Seas Water and desalination. Quench USA, Inc., now a Culligan subsidiary, installs company-owned filtration dispensers for institutional and commercial workplaces in the U.S. and Canada. Fixed-fee plumbed filtration replaces bottle storage, handling, and delivery. ECONOMIC MODEL The core unit is a machine; CAC and tenure sit at the customer location. Monthly rent includes maintenance and filters; installation may be separate. Multiple machines spread account setup cost. More than 500 technicians install, inspect, sanitize, change filters, and repair, making route density central. Working equipment, included service, predictable bills, and re-plumbing support retention; office closure, relocation, downsizing, hybrid work, rebids, and poor service cause churn. Returns require recovery, refurbishment, and reinstallation before earning again. SUPPORTING EVIDENCE FY2019 is the last standalone period. Quench had about 160,000 units and 55,000-plus customers, or 2.9 units per account, with \$115.2 million revenue, \$32.4 million adjusted EBITDA, 13.6% organic growth, and six acquisitions. Current materials describe mainly month-to-month rental and included service.	WHAT IT DOES Primo Water's installed filtration offer now sits inside Primo Brands after the November 2024 transaction. It places company-owned carbon or reverse-osmosis systems in homes and businesses, with floor, countertop, and under-sink formats from \$27.99 monthly. It solves taste and convenience needs without bottle logistics or self-managed maintenance. The benchmark excludes delivery, refill, exchange, dispenser sales, and unrelated products where possible. ECONOMIC MODEL The core unit is a filtration system; the account governs CAC and cross-sell. Primo owns, installs, leases, maintains, filters, sanitizes, repairs, bills, and sometimes monitors devices. Rolling cancellation lowers sales friction but makes retention depend on convenience, service, price, moves, and cross-sell. Home/business reach reduces office concentration but fragments routes and creates internal purchase, refill, exchange, and delivery substitutes. Cancelled equipment must be recovered and redeployed. SUPPORTING EVIDENCE FY2023 combined Refill/Filtration revenue was \$226.9 million versus \$192.0 million, so filtration growth is not separable. Customer equipment had \$235.0 million net book value and 2-15-year lives but included many non-filtration assets. Cancellation is flexible.

KEY DILIGENCE QUESTIONS

1. Obtain filtration-only revenue, installed units, churn, net retention, margin, service cost, and sustaining... | 2. Separate organic placements and price from tuck-in acquisitions at Quench and refill-driven growth at Primo. | 3. Measure returned-unit recovery, refurbishment, redeployment, and scrap rates by product family.

Submetering Operating Benchmark

Two-page benchmark brief | Analysis date: July 18, 2026 | Energy Assets, ista, Techem, Smart Metering Systems, Calisen, and CARMA

SUBVERTICAL THESIS

Building billing platforms and meter-asset owners are economically distinct. Billing platforms earn recurring data and compliance fees with moderate reinvestment; meter owners report higher EBITDA but require materially heavier replacement capital and longer payback.

METRIC	ESTIMATE	RATIONALE / EVIDENCE
Revenue growth	Building 6% Meter owner 7%	Rationale. Building platforms grow through indexation, digital refresh, penetration, and data upsell. Support / caveat. ista grew sales about 5.2% in 2025; Techem submetering rose from EUR933.5 million to EUR1,041.5 million. CONFIDENCE: MEDIUM
EBITDA margin	Building 47% Meter owner 60%	Rationale. Dense billing/data estates have low marginal cost. Asset owners look richer because depreciation and replacement capital sit below EBITDA; service-led and mixed platforms sit lower. Support / caveat. Techem reported EUR557 million EBITDA on EUR1.17 billion 2025 revenue; ista evidence supports 40%+. CONFIDENCE: MEDIUM
Maintenance capex / revenue	Building 9% Meter owner 30%	Rationale. Building platforms replace cheaper devices, batteries, communications, and IT. Utility-facing owners must replace expensive funded meter estates, making asset intensity the key structural divide. Support / caveat. ista reported EUR260 million total 2025 investment. CONFIDENCE: MEDIUM-LOW
Post-maintenance capex conversion	Building 81% Meter owner 50%	Rationale. Billing/data platforms convert well after device refresh. Asset owners reserve much more EBITDA for replacement, so high reported margins can yield only roughly 50% conversion. Support / caveat. Derived as (EBITDA - maintenance capex) / EBITDA. Central company cases: ista 78%, Techem 82%, SMS 47%, Calisen 51%. CONFIDENCE: MEDIUM-LOW
Initial contract tenor	Building 8 yrs Meter owner 3 yrs	Rationale. Building awards need term to amortize installation. Utility-meter economics may rely on supplier frameworks and removal compensation, so legal form can be far shorter than asset life. Support / caveat. CARMA has long-term, inflation-protected contracts; ista and Techem publish no standard term. CONFIDENCE: LOW-MEDIUM
Effective customer tenure	Building 14 yrs Meter owner 13 yrs	Rationale. Installation, billing history, data migration, and low switching salience extend building tenure. Utility meters can keep earning across supplier changes until physical removal. Support / caveat. ista manages 45 million-plus devices; Techem has roughly 62-70 million. CONFIDENCE: MEDIUM
Utilization exposure	Building Low Meter owner Moderate	Rationale. Installed meters normally earn regardless of daily consumption. Exposure rises when installation teams, field service, and funded rollout pipelines must remain productive or meters are removed. Support / caveat. ista, Techem, and CARMA monetize installed units and billing. CONFIDENCE: MEDIUM
New-unit / customer payback	Building 4.0 yrs Meter owner 6.0 yrs	Rationale. Cheaper suite devices plus billing/data yield roughly three-to-five-year payback. Funded utility meters pair higher installed cost with modest annual rent, extending payback. Support / caveat. Calisen disclosed GBP219 capex per meter and GBP23.8 ARPM. CONFIDENCE: MEDIUM-LOW
B2B vs B2C	Building B2B; residential end users Meter owner Predominantly B2B	Rationale. Owners and managers buy building submetering while residents consume and may receive bills. Suppliers procure funded utility meters; households are users, not core customers. Support / caveat. ista has 460,000-plus customers against 14 million-plus units; Techem and CARMA market to buildings. CONFIDENCE: HIGH

Submetering Operating Benchmark

Two-page benchmark brief | Analysis date: July 18, 2026 | Energy Assets, ista, Techem, Smart Metering Systems, Calisen, and CARMA

HOW TO READ THE UNIVERSE

The six companies span building billing, meter-asset ownership and a mixed metering platform. Their profiles show why similar recurring-revenue labels conceal different field-service, replacement-capital and contract economics.

Energy Assets WHAT IT DOES UK metering-and-data provider inside a wider network construction, ownership, water, fibre, and utility-services platform customers need... ECONOMIC MODEL Unit: installed asset with attached data/service. Revenue mixes recurring fees with installation and maintenance. Integrated workflows aid retention; project exposure and segment contamination weaken comparability. SUPPORTING EVIDENCE More than 1.5 million managed assets.	ista WHAT IT DOES European platform installing apartment meters and allocators, then providing recurring consumption allocation, billing, data, and sustainability... ECONOMIC MODEL Unit: managed dwelling/device footprint. Regulation-shaped demand and dense estates support margin; access, hardware, resident communication, and data migration deter switching. SUPPORTING EVIDENCE 45 million-plus devices, 14 million-plus units, 460,000-plus customers, EUR1,279 million 2025 sales, and EUR260 million investment.	Techem WHAT IT DOES European provider installing apartment devices and monetizing recurring heating/water allocation, billing, data, and digital building services for... ECONOMIC MODEL Unit: serviced dwelling/device set. Regulation-shaped demand, radio infrastructure, and embedded billing deter switching; field service and procurement remain costs. The benchmark excludes energy contracting. SUPPORTING EVIDENCE 13 million-plus dwellings, 62-70 million devices; 2025 submetering revenue EUR1,041.5 million and group EBITDA EUR557 million.
Smart Metering Systems WHAT IT DOES UK platform funding, installing, and managing supplier-facing smart meters for recurring rent and data income; batteries and EV-charging are excluded. ECONOMIC MODEL Unit: owned contracted meter. Ownership and workflow integration support tenure; rollout and supplier procurement drive growth and service utilization. Hardware-plus-installation makes replacement capital heavy. SUPPORTING EVIDENCE Combined group: 6 million-plus meters in 2025. Clean FY2022 base: 2.1 million meters, GBP97.1 million ILARR, GBP63.8 million EBITDA on GBP135.5 million revenue.	Calisen WHAT IT DOES UK asset owner funding meters for energy retailers; the benchmark centers on MAP Services and excludes EV charging, heat pumps, and other... ECONOMIC MODEL Unit: owned revenue-generating meter. Policy drives installs; charges can survive supplier switching. Month-to-month legal orders contrast with 10-20-year economics. High EBITDA requires heavy replacement capital. SUPPORTING EVIDENCE 2023: 15.2 million meters, GBP293.9 million MAP revenue, GBP265.4 million EBITDA, GBP355.5 million capex, GBP219 meter capex, GBP23.8 ARPM.	CARMA WHAT IT DOES Canadian suite-level metering and billing platform helping owners and managers allocate utilities, provide consumption visibility, and administer... ECONOMIC MODEL Unit: contracted metered suite. Devices, data, billing, and move workflows deter switching; property decisions or service failures cause churn. Capital funds meters, communications, IT, and reinstallation. SUPPORTING EVIDENCE 135,000-plus units in 1,000-plus buildings across four provinces; long-term inflation-protected contracts and 11 million-plus daily reads.

KEY DILIGENCE QUESTIONS

1. Obtain clean metering-segment financials for Energy Assets and CARMA; both materially widen the observed... | 2. Separate rollout and acquisition capex from true estate replacement at Smart Metering Systems and Calisen... | 3. Confirm standard contract terms, renewal cohorts, and churn for ista and Techem; legal terms are inferred...

Liquid Environmental Services Operating Benchmark

Two-page benchmark brief | Analysis date: July 18, 2026 | Restaurant Technologies, Liquid Environmental Solutions, Waste Resources Management, and Wind River Environmental

SUBVERTICAL THESIS

Two models should remain separate: installed onsite oil systems and route-based collection, treatment and processing. Onsite embedding supports tenure; route density and owned treatment support margin, but increase fleet and plant utilization exposure.

METRIC	ESTIMATE	RATIONALE / EVIDENCE
Revenue growth	Onsite 8% Route 9%	Rationale. Onsite growth comes from installed kitchens, chain wins, throughput, and price after removing commodity pass-through. Support / caveat. RTI serves 45,000-plus kitchens through 41 depots but has no organic/commodity bridge. CONFIDENCE: MIXED BY ARCHETYPE
EBITDA margin	Onsite 21% Route 28%	Rationale. RTI benefits from sticky service and recovered-oil value but bears fresh-oil, installation, depot, and field costs. Support / caveat. S&P supported ratings-adjusted EBITDA margins above 30% for LES, the cleanest disclosed route processor. CONFIDENCE: MIXED BY ARCHETYPE
Maintenance capex / revenue	Onsite 3.5% Route 5.0%	Rationale. RTI sustains installed tanks, pumps, filtration, monitoring, and vehicles; new installs are growth capex. Route processors replace vacuum trucks and maintain treatment, environmental, and safety systems. Support / caveat. RTI has 41 depots and 45,000-plus sites; LES reports 670 field vehicles; Wind River reports 1,000 vehicles and 16 plants. CONFIDENCE: MIXED BY ARCHETYPE
Post-maintenance capex conversion	Onsite 83% Route 82%	Rationale. Both models convert recurring EBITDA well before financing, working capital, and growth capex. Support / caveat. The ranges are derived as (EBITDA - maintenance capex) / EBITDA. Company central cases are RTI 83%, LES 87%, WRM 83%, and Wind River 75%. CONFIDENCE: MIXED BY COMPANY
Initial contract tenor	Onsite 4 yrs Route 2 yrs	Rationale. RTI likely needs a multi-year term to underwrite onsite equipment. Support / caveat. No company publishes a standard term. CONFIDENCE: MIXED BY ARCHETYPE
Effective customer tenure	Onsite 9 yrs Route 7 yrs	Rationale. Equipment, workflow, safety value, and the nuisance of manual oil handling make RTI sticky. Support / caveat. RTI has equipment embedded in more than 45,000 commercial kitchens. CONFIDENCE: MEDIUM
Utilization exposure	Onsite Moderate Route Moderate-High	Rationale. RTI equipment can remain deployed while oil throughput softens, so gallons per kitchen and depot density matter. Support / caveat. RTI combines 45,000-plus installed kitchens with 41 depots. CONFIDENCE: MIXED BY ARCHETYPE
New-unit / customer payback	Onsite 2.5 yrs Route 1.25 yrs	Rationale. RTI recovers hardware, installation, acquisition, and route support from whole-relationship contribution. Support / caveat. RTI cites \$250 and nine labor hours of weekly customer savings, not unit contribution. CONFIDENCE: MIXED BY ARCHETYPE
B2B vs B2C	Onsite Predominantly B2B Route Predominantly B2B	Rationale. RTI sells to commercial kitchens and institutions. LES and most WRM customers are commercial or industrial. Support / caveat. About 60% of RTI revenue was QSR-related in 2022. CONFIDENCE: HIGH

Liquid Environmental Services Operating Benchmark

Two-page benchmark brief | Analysis date: July 18, 2026 | Restaurant Technologies, Liquid Environmental Solutions, Waste Resources Management, and Wind River Environmental

HOW TO READ THE UNIVERSE All four businesses solve recurring oil or wastewater needs, but the bottleneck differs: installed customer-site systems versus dense routes and permitted treatment capacity. That distinction drives the estimates.	
Restaurant Technologies WHAT IT DOES Installs automated cooking-oil systems and provides fresh-oil delivery, filtration, monitoring, used-oil removal, and recycling, solving kitchen labor, safety, quality, and disposal problems. ECONOMIC MODEL Unit: installed location; gallons measure usage and depot routes service capacity. Revenue mix product, service, equipment, and recovery value. Equipment/workflow embedding retains customers; closures, operator changes, low throughput, service failures, or repricing cause churn. Capital funds onsite systems, vehicles, and depots. SUPPORTING EVIDENCE 45,000-plus kitchens, 41 depots, 1,200-plus employees; about 60% of 2022 revenue was QSR-related. Margin, capex, terms, and payback are derived; S&P reported 2024 cash deficits despite durable revenue.	Liquid Environmental Solutions WHAT IT DOES Collects, transports, treats, recycles, and disposes of grease, used oil, wastewater, grit, and related streams for commercial/industrial customers needing recurring sanitation and compliance. ECONOMIC MODEL Units: route customer for payback, truck/route for utilization, treatment plant for margin. Revenue mixes service, hauling, treatment/disposal, and recovery value. Plants and permits capture spread; recurring need, reliability, and processing access retain accounts. Poor service, pricing, dense rivals, or partner dependence create churn/margin risk. SUPPORTING EVIDENCE 1,020 employees, 670 vehicles, 95 facility/partner sites, 129,500 locations; earlier 24 plants and 300-plus vacuum trucks. S&P supports margins above 30%. Owned/partner mix, organic growth, churn, and maintenance capex are unavailable.
Waste Resources Management WHAT IT DOES Grease-centered platform collecting, processing, transporting, and recycling liquid waste while cross-selling jetting, trap repair, plumbing, septic, sludge, and remediation to commercial/institutional sites. ECONOMIC MODEL Unit: route customer linked to shared processing. Revenue mixes collection, treatment, recovery transport, and field work. Vertical integration and bundled reliability retain accounts; switching remains easier than onsite equipment. Capital includes vacuum trucks, specialty units, pumps, tanks, and processing assets. SUPPORTING EVIDENCE 10,000-plus clients, four states, 300-plus employees; a 2026 deal adds 13 metros. Mixed McDonald Farms services reduce purity. Central: 10% growth, 26% EBITDA, 4.5% maintenance capex, six-year tenure, 1.25-year incremental payback; capex confidence Low.	Wind River Environmental WHAT IT DOES East Coast consolidator spanning residential septic, commercial grease, plumbing/drains, municipal-industrial wastewater, specialty services, and treatment management, solving backup, compliance, and downtime risks. ECONOMIC MODEL Unit: route/service customer; plants drive network margin. Revenue mixes routes, septic cycles, emergencies, and projects. Local trust, recurring need, disposal access, and response retain customers; service inconsistency, competition, and integration cause churn. Its varied fleet/plants create density but heavy maintenance and mixed-business exposure. SUPPORTING EVIDENCE 1,100-plus experts, 1,000 vehicles, 100 teams, 16 states, 90-plus acquisitions, 16 plants processing 200 million-plus gallons. Central: 9% growth, 22% EBITDA, 5.5% maintenance capex, eight-year tenure, 1.5-year incremental payback. Only clearly mixed B2B-B2C company.
KEY DILIGENCE QUESTIONS 1. Obtain current standalone revenue and EBITDA for all four private companies and separate organic growth from... 2. Confirm contract forms, renewal mechanics, and cohort churn. 3. Build maintenance capex by asset class: RTI onsite systems and service vehicles; route-company vacuum...	

Transportation Solutions Operating Benchmark

Two-page source brief | Four structurally distinct archetypes | Analysis date: July 18, 2026

SUBVERTICAL THESIS

Four models require separate estimates: railcar leasing, locomotive leasing, airport GSE leasing and outsourced yard logistics. Asset lessors earn higher margins with heavier reinvestment; yard logistics is labor-led, lower-margin and much lighter-capital.

METRIC	ESTIMATE	RATIONALE / EVIDENCE
Revenue growth	Railcar 4% Loco 6% GSE 8% Yard 7%	Rationale. Railcar growth is price, fleet additions and utilization; locomotives add modernization demand. GSE gains from outsourcing and electrification. Yard growth is new sites and cross-sell. Support / caveat. VTG reported strong tank-wagon but weaker intermodal utilization; Akiem has placed major orders and completed a EUR1.52 billion green refinancing... CONFIDENCE: MIXED BY ARCHETYPE
EBITDA margin	Railcar 58% Loco 62% GSE 30% Yard 14%	Rationale. Rail earns high lease spreads, tempered by maintenance and off-lease drag. GSE bears technician and workshop cost. Yard payroll and shift efficiency cap margins. Support / caveat. Akiem's official 2021 transaction data showed roughly EUR150 million EBITDA on EUR220 million revenue. CONFIDENCE: MIXED BY ARCHETYPE
Maintenance capex / revenue	Railcar 18% Loco 18% GSE 14% Yard 4%	Rationale. Wagons need overhaul and replacement; locomotives add ERTMS and compliance work. GSE needs refurbishment and batteries. Yard sustains tractors and tech only. Support / caveat. VTG spent EUR536 million on fixed assets in 2024, mainly new wagons and fleet maintenance. Akiem is upgrading about 250 locomotives for ERTMS. CONFIDENCE: MIXED BY ARCHETYPE
Post-maintenance capex conversion	Railcar 69% Loco 71% GSE 55% Yard 71%	Rationale. The measure is (EBITDA minus maintenance capex) / EBITDA, not full free cash flow. Support / caveat. Ranges are calculated directly from each archetype's normalized EBITDA and maintenance-capex assumptions and exclude interest, taxes, working... CONFIDENCE: MIXED BY ARCHETYPE
Initial contract tenor	Railcar 4 yrs Loco 7 yrs GSE 5 yrs Yard 3 yrs	Rationale. High unit value and approvals require longer locomotive terms. Wagon and GSE packages are medium term. Yard mobilization needs less legal duration than large assets. Support / caveat. VTG materials describe medium-to-long-term wagon hire; Akiem supports rolling stock through handback; TCR is described as having long-term... CONFIDENCE: MIXED BY ARCHETYPE
Effective customer tenure	Railcar 9 yrs Loco 12 yrs GSE 9 yrs Yard 7 yrs	Rationale. Customer life outlasts one asset or site contract. Support / caveat. The report cites fleet integration in industrial flows, Akiem's framework and lifecycle support, TCR's long-term relationships, and Lazer customer... CONFIDENCE: MIXED BY ARCHETYPE
Utilization exposure	Railcar Moderate Loco Moderate GSE Moderate-High Yard High	Rationale. Rail depends on paid deployment and redeployment; locomotive downtime is concentrated. GSE adds ramp use and spare fleets. Yard depends on productive labor hours. Support / caveat. VTG's intermodal utilization weakened while tank wagons stayed high. TCR discusses idle-fleet waste and telematics right-sizing. CONFIDENCE: MIXED BY ARCHETYPE
New-unit / customer payback	Railcar 9 yrs Loco 10 yrs GSE 5.5 yrs Yard 1.5 yrs	Rationale. Rail needs multiple placements and residual value. GSE is cheaper but service-heavy. Yard launch spend is mainly recruiting, training, limited equipment and tech. Support / caveat. All ranges are triangulated from fully burdened investment and unit- or site-level cash contribution after direct cost and a maintenance reserve... CONFIDENCE: MIXED BY ARCHETYPE
B2B versus B2C	All models Predominantly B2B	Rationale. Customers buy capital relief, uptime, compliance and outsourcing. Contracts sit with operators, authorities, airports, handlers, industrial firms and 3PLs. Support / caveat. Each company's official customer description is institutional; the report found no economically relevant direct B2C revenue stream in the... CONFIDENCE: HIGH

Transportation Solutions Operating Benchmark

Two-page source brief | Four structurally distinct archetypes | Analysis date: July 18, 2026

HOW TO READ THE UNIVERSE

Five businesses map to four models: railcar, locomotive, airport GSE and yard logistics. The economic unit shifts from an earning asset, to a station fleet package, to a site contract and productive service hour.

VTG

WHAT IT DOES

Leases and manages European freight wagons for industrial shippers and rail operators.

ECONOMIC MODEL

Unit: earning wagon; revenue: recurring lease plus services. Customers avoid capital and secure compliant, cargo-specific capacity.

SUPPORTING EVIDENCE

2024: EUR405m operating cash flow and EUR536m fixed-asset investment, mainly new wagons and maintenance; tank utilization stayed high while intermodal softened.

Akiem

WHAT IT DOES

Leases and maintains locomotives and some passenger rolling stock across Europe.

ECONOMIC MODEL

Unit: locomotive under lease/full service. Operators outsource scarce, compliant traction.

SUPPORTING EVIDENCE

2021: 600+ locomotives, 46 passenger trains, about EUR220m revenue and EUR150m EBITDA. A EUR1.52bn 2026 refinancing supports growth; about 250 locomotives are receiving ERTMS.

Air Rail

WHAT IT DOES

AIR RAIL, S.L. leases, maintains and refurbishes airport GSE; it also has rail activities.

ECONOMIC MODEL

Unit: deployed GSE/station package. Rental, maintenance, parts and resale solve airline/handler capex and uptime needs. Airport service embeds relationships; rebids and transfer friction cause churn.

SUPPORTING EVIDENCE

IFM owns 75%. March 2026: 4,700+ units, about 60 airports, eight countries and 68% of motorized units electric.

TCR

WHAT IT DOES

Rents, maintains, refurbishes and electrifies GSE for airlines, handlers and airports.

ECONOMIC MODEL

Unit: GSE/airport fleet package. Full-service rent and lifecycle services solve turnaround uptime and capital needs. Workshops, technicians and spares embed TCR; handler rebids drive churn.

SUPPORTING EVIDENCE

44,000+ assets, 100+ workshops, 1,800+ employees, 24 countries and 200+ airports. GIP's March 2026 acquisition agreement was expected to close in Q3.

Lazer Logistics

WHAT IT DOES

Runs warehouse and industrial yards using drivers, equipment, processes and technology.

ECONOMIC MODEL

Unit: site contract/service hour. Recurring site and labor revenue solves trailer-flow bottlenecks. Lazer staffs and supervises yards; integration supports retention, while rebids, closures and volume loss cause churn.

SUPPORTING EVIDENCE

EQT reports 550+ sites, 5,000 employees, 6,000 fleet assets and 9m annual service hours. Lazer is outsourced operations, not an asset-leasing benchmark.

KEY DILIGENCE QUESTIONS

1. Do not blend the four archetypes: the asset-owner versus labor-operator distinction drives margins, capex... | 2. Private-company maintenance capex is the weakest metric; obtain gross replacement, refurbishment... | 3. Measure paid utilization by asset family, off-lease days and redeployment cost rather than relying on...

Specialty Rental Operating Benchmark

Two-page source brief | Four operating archetypes | Analysis date: July 18, 2026

SUBVERTICAL THESIS

Consumer storage, B2B storage, modular space and trench safety differ in rental duration, service intensity and capital recovery. Simple standardized assets generally support stronger margins and conversion, while modular and project-driven fleets carry greater reset or utilization risk.

METRIC	ESTIMATE	RATIONALE / EVIDENCE
Revenue growth	Consumer 4% B2B storage 5% Modular 6% Trench 6%	Rationale. Growth is rate, units on rent and fleet additions: home moves for PODS, local availability for containers, project pipelines for modular and utility work for trench. Support / caveat. Mobile Mini's 2019 Storage Solutions rental revenue grew 4.0% and yield 3.5%; Modulaire reported more units on rent and 5% revenue-per-unit growth... CONFIDENCE: MIXED BY ARCHETYPE
EBITDA margin	Consumer 33% B2B storage 40% Modular 34% Trench 33%	Rationale. Simple steel containers maximize margin. Modular adds installation; trench adds branch, engineering and hauling cost; PODS bears delivery, yards and linehaul. Support / caveat. Mobile Mini disclosed a 41.0% Storage Solutions adjusted EBITDA margin in 2019. CONFIDENCE: MIXED BY ARCHETYPE
Maintenance capex / revenue	Consumer 7% B2B storage 6% Modular 8% Trench 7%	Rationale. Containers have long lives and high residuals; PODS also sustains delivery equipment, yards and systems. Modular requires refurbishment and resets. Support / caveat. Mobile Mini assets had 30-year lives and 55% residuals. McGrath uses 18 years/50% for modular and 25 years/62.5% for storage. CONFIDENCE: MIXED BY ARCHETYPE
Post-maintenance capex conversion	Consumer 79% B2B storage 85% Modular 76% Trench 79%	Rationale. The calculation is (EBITDA minus maintenance capex) / EBITDA, before interest, tax, working capital and growth capex. Support / caveat. Every range is calculated from the report's normalized margin and maintenance-capex assumptions rather than reported free cash flow. CONFIDENCE: MIXED BY ARCHETYPE
Initial contract tenor	Consumer 1 mo B2B storage 3 mos Modular 18 mos Trench 2 mos	Rationale. Consumer moves and trench phases need flexibility; commercial containers are month-based but extend. Support / caveat. PODS markets flexible monthly use; Mobile Mini used month-based rentals; McGrath states 1-12 months for storage and 12-24 months for modular... CONFIDENCE: MIXED BY ARCHETYPE
Effective customer tenure	Consumer 8 mos B2B storage 4 yrs Modular 7 yrs Trench 5 yrs	Rationale. PODS tenure ends with the move or renovation. Commercial contractors, schools, institutions and utilities return across projects, so customer life materially exceeds any one unit's rental duration. Support / caveat. Mobile Mini served about 74,000 customers with low concentration; Modulaire serves 52,000+ customers; TPRC served 5,000+ customers. CONFIDENCE: MIXED BY COMPANY
Utilization exposure	Consumer Moderate-High B2B storage Moderate Modular Moderate Trench High	Rationale. Idle fleet earns no rent. Containers redeploy readily; modular units face installation and removal friction; trench inventory rolls off with project completion. Support / caveat. Mobile Mini's 2019 utilization was 79.1% by units and 77.9% by original cost; Modulaire reported 86% in 1Q22; McGrath's 2025 utilization was 73.0%... CONFIDENCE: MIXED BY ARCHETYPE
New-unit / customer payback	Consumer 3.5 yrs B2B storage 4.5 yrs Modular 6.0 yrs Trench 3.5 yrs	Rationale. Cash payback reserves delivery, service and maintenance. Containers and trench steel have residual value; modular costs more; PODS needs rent plus move-event profit. Support / caveat. General Finance said revenue could recover original equipment cost within four years, but the report extends cash payback after direct costs. CONFIDENCE: MIXED BY ARCHETYPE
B2B versus B2C	Consumer Mixed; B2C lean B2B storage Predominantly B2B Modular Predominantly B2B Trench Predominantly B2B	Rationale. PODS materially serves households whose event-driven demand creates shorter tenure and more acquisition cost. Support / caveat. Company disclosures identify PODS as residential and commercial; Mobile Mini's account structure was commercial; Modulaire and McGrath emphasize... CONFIDENCE: MIXED BY ARCHETYPE

Specialty Rental Operating Benchmark

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HOW TO READ THE UNIVERSE Six resolved operators map to consumer storage, B2B storage, modular space and trench safety. Reliant Rental remains unresolved and is explicitly excluded from the estimates.		
PODS WHAT IT DOES Delivers containers for residential and commercial moving/storage. ECONOMIC MODEL Unit: container-month plus move event; revenue is rent and logistics fees. Customers solve moves or renovations. PODS runs drivers, yards and linehaul; life-event completion causes churn. SUPPORTING EVIDENCE 2m+ long-distance moves and 7m+ deliveries. Q3 2024 sales fell 7.5%, EBITDA 24%; ranges are Low confidence.	Mobile Mini WHAT IT DOES Rented storage containers and ground-level offices to commercial users. ECONOMIC MODEL Unit: box on rent; revenue was mostly rental. Branches deliver and refurbish simple assets solving temporary jobsite needs. Projects end placements, but accounts repeat. Long lives and residuals limit capital needs. SUPPORTING EVIDENCE 2019 standalone: \$490.7m Storage revenue, 41.0% margin, 79.1% unit utilization; assets had 30-year lives and 55% residuals	Trench Plate Rental WHAT IT DOES Rented trench plates, shoring and safety systems to contractors and utilities. ECONOMIC MODEL Unit: jobsite equipment set; revenue is rental/support. Branches solve mandatory excavation safety, then inspect and redeploy steel. Projects end rentals, but contractors repeat. SUPPORTING EVIDENCE Pre-2021 merger: 37 branches and 5,000+ customers. Financial ranges are Medium-confidence triangulations.
General Finance Corporation WHAT IT DOES Rented containers, mobile offices and modular units through regional brands. ECONOMIC MODEL Unit: fleet asset; revenue is lease plus sales. Customers need temporary space. GFC delivered, maintained and re-leased units projects cause churn, while accounts repeat. SUPPORTING EVIDENCE FY2020: \$164.7m North America and \$63.1m Asia-Pacific leasing revenue; 70%-85% utilization, 20-30-year lives, residuals up to 70%.	Modulaire Group WHAT IT DOES Rents and installs modular space for public, infrastructure and enterprise users. ECONOMIC MODEL Unit: module on rent; revenue is lease/service. Customers need temporary space. Modulaire transports, installs and refurbishes units; installation and repeat projects support retention. SUPPORTING EVIDENCE 330,000 units, 52,000+ customers. 1Q22: EUR370m revenue, EUR116m EBITDA, 86% utilization; capex precision is weaker.	McGrath RentCorp WHAT IT DOES Rents modular buildings and storage containers to businesses and institutions. ECONOMIC MODEL Unit: module/container; revenue is rent plus delivery/service. Customers need classrooms, jobsite space or storage. McGrath installs and refurbishes; repeat accounts outlast placements. SUPPORTING EVIDENCE 2025: modular utilization 73.0%, storage 60.8%. Lives/residuals: modular 18 years/50%; storage 25 years/62.5%.
UNRESOLVED IDENTITY - EXCLUDED FROM ESTIMATES Reliant Rental No standalone specialty-rental operator is resolved; evidence points only to a Vander/BlueLine brand candidate. A 2014 trademark links Reliant to Vander; BlueLine sold in 2018. All metrics are Unavailable, Low confidence and unweighted.		
KEY DILIGENCE QUESTIONS 1. Keep the four archetypes separate: asset standardization and service intensity are the largest sources of... 2. Use gross replacement and refurbishment requirements, not depreciation or net capex alone, to assess... 3. Track physical and dollar utilization with consistent denominators; delivery, yard and branch utilization...		